

AZ-104 Lab 01 – Manage Microsoft Entra ID Identities

Purpose of the Lab

This lab introduces Microsoft Entra ID identity management concepts such as tenants, users, guest users, and groups. It demonstrates how organizations manage access securely using users and groups instead of individual permissions.

Key Concepts Covered

- 1 Tenant: Identity boundary representing an organization in Microsoft Entra ID.
- 2 Internal User (Member): Employee or internal identity created inside the tenant.
- 3 Guest User: External identity invited from another email or organization.
- 4 Groups: Logical containers to manage access permissions efficiently.
- 5 Assigned Membership: Manual addition and removal of users from groups.
- 6 Dynamic Membership: Automatic group membership based on user attributes (requires Premium license).
- 7 Owners vs Members: Owners manage groups; members inherit permissions.

What Happens When a Guest Accepts an Invite

When a guest accepts an invitation, they authenticate using their own external identity. Microsoft Entra ID establishes trust and links the identity to the tenant. Group memberships and RBAC permissions then determine what the guest can access.

Real-World Use Cases

- 1 Granting DevOps contractors access to Azure resources
- 2 Providing vendors limited access to storage or logs
- 3 Allowing auditors read-only access to subscriptions
- 4 Managing access at scale using groups instead of users

Interview Quick Revision

Assigned membership is manual and best for small or temporary teams. Dynamic membership is rule-based and ideal for large organizations. Always assign permissions to groups, not users.